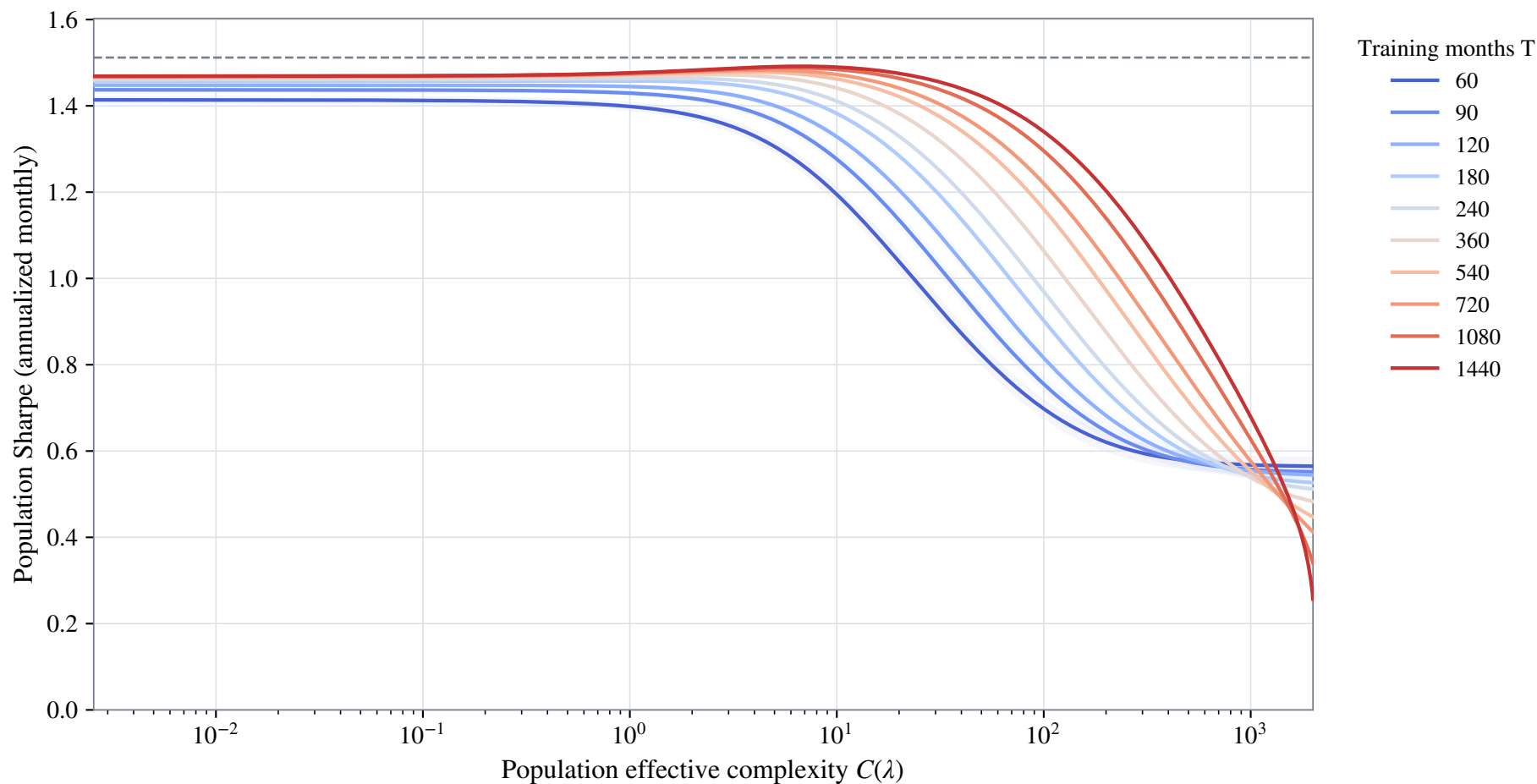


# Population Sharpe versus portfolio complexity

Boundary target |  $b = 1.5$  | 2,000 directions | 500 independent paths per  $T$



Mean of the population Sharpe ratios of 500 fitted policies; bands are pointwise 95% Monte Carlo intervals.

Annualization uses  $\sqrt{12}$  times monthly Sharpe, not the Sharpe of an AR-dependent annual sum.

Dashed line: attainable population maximum. Vanishing exposure does not imply a zero Sharpe ratio.